

The Biggest Mistakes the Wealthy (and not so Wealthy) Make

OUR DISCUSSION OF behavioral errors begins with “Avoidable mistakes.” As we shall see, these differ from emotional decision-making and cognitive errors in how they manifest in people’s portfolios.

Financial mistakes can come from different sources; identifying them might help you spot and avoid them. Self-awareness and humility are enormously valuable traits for any investor. Being aware of when your emotions are driving your decisions helps you manage your choices more rationally. A little enlightenment can go a long way.

It is important to understand that the investing mistakes you have made in the past—and will likely make in the future—are not your fault. It is simply our wetware trying to do its job of keeping us alive. Give yourself a break from the self-recriminations. When it comes to investing, we just weren’t built for it.

None of this means we cannot use our big, energy-hungry brains to find solutions to this problem. In fact, we already have. As discussed earlier, “Investing is a problem that has been solved.” The problem of human behavior is what remains unsolved.

Bad behavior leads to bad investing outcomes. For simplicity’s sake, let’s categorize this into ten areas:

1. Planning failures.
2. (Mis)understanding your own needs.
3. Active versus passive management.
4. Improper asset allocation between stocks and other asset classes.
5. Excess concentration (lack of diversification).